

World in Brief: US Petrol prices reach their lowest since March; Bank of England holds interest rates



Photograph: Getty Images

Petrol prices in America fell below \$4 a gallon on average for the first time since March 30th. Meanwhile three Saudi oil tankers, laden with around than 6m barrels, successfully transited the **Strait of Hormuz**. They are the first to do so since America and Iran signed a memorandum of understanding to end their war.

Binyamin Netanyahu said that **Israeli** troops would remain in southern **Lebanon** for “as long as Israel’s security needs require it”. The **Israeli prime minister** has clashed with Donald Trump over Israel’s campaign against Hizbullah, the Iran-backed militia in Lebanon. The agreement between America and Iran calls for an end to hostilities in Lebanon.

The **Bank of England** voted 7-2 to hold its benchmark interest rate at 3.75%, and said it expects the Iran war’s lingering impact on energy prices to push up inflation further. Annual inflation was 2.8% in May, above the 2% target, though less than the bank had forecast. The bank said Britain’s relatively weak labour market could bring inflation down in the long term.

Ukraine attacked Moscow with nearly 200 drones, in its largest strike on the city of the war so far, and another demonstration of its

ability to [reach deep](#) into **Russia**. Volodymyr Zelensky, Ukraine's president, said it was in response to Russia's attack on Kyiv earlier this week, which set an 11th-century monastery ablaze. He urged Russia to commit to diplomatic talks to end the conflict.

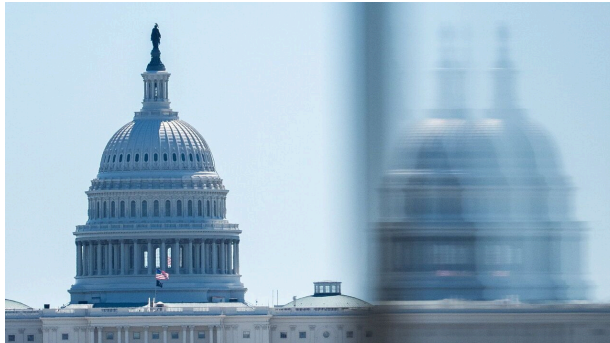
Intel stocks rose by around 9% in pre-market trading after Mr Trump said that it would partner with **Apple** to design and make semiconductors in America. The government bought a stake in the American chipmaker last year as part of its effort to bring production onshore. Meanwhile Apple warned that it would raise the prices of several products due to the [surging cost of inputs](#), including memory chips.

The **National Stock Exchange**, India's largest bourse, filed for an initial public offering of its own shares. The pricing and valuation of the IPO are not yet known, but it could be India's largest ever. If [Jio](#), a telecoms giant, also lists, as expected, a lean year so far for Indian IPOs may yet turn into a bumper one.

The European Parliament voted to allow countries to open "return hubs" outside European Union borders. Migrants without the right to remain in the EU may be held while awaiting deportation, or detained indefinitely. The tough reforms will also allow authorities to search homes and seize personal belongings. The legislation follows public pressure on lawmakers [to limit migration](#); its draft text was criticised by human-rights groups.

Figure of the day: 97%, the share of respondents who could not hear the difference between AI-generated and man-made music, according to a survey by Deezer, a streaming service. Dive into [our report](#) on how AI is changing creative fields.

US in Brief: Republicans react to Trump's Iran deal



Photograph: Getty Images

Republican critics of Donald Trump poured scorn on [his deal](#) with Iran as the president signed the document in Versailles. Bill Cassidy, a Republican senator from Louisiana, called it “the worst foreign-policy blunder in decades”. Meanwhile, the response from some Trump loyalists was tepid: Lindsey Graham, a senator from South Carolina, said the agreement was “beneficial” but added it remained to be seen whether America could reach “an acceptable, verifiable deal” on Iran’s nuclear programme.

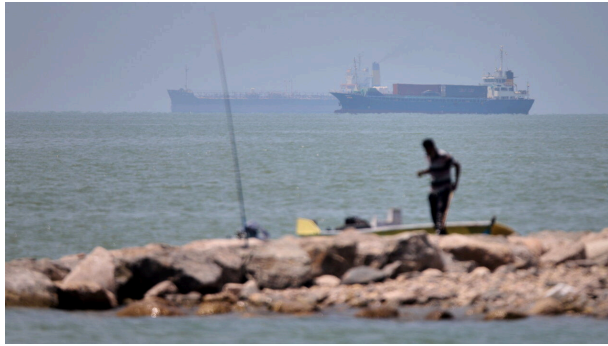
Republicans in **Georgia** abandoned plans to redraw congressional maps for the 2028 elections, for now. Brian Kemp, Georgia’s Republican governor, called a special session to create the new maps last month, after the Supreme Court [weakened the Voting Rights Act](#). But lawmakers said redistricting would require “considerable time” to account for public input and deserved a “responsible, fact-driven approach”.

In **Oklahoma**, Jackson Lahmeyer withdrew from the Republican primary for a seat in the House of Representatives after Mr Trump retracted his [endorsement](#). Last week Mr Lahmeyer, a pastor from Tulsa, admitted sending flirtatious text messages to a woman who is not his wife. Mr Trump swiftly said he was supporting the other

candidate in a Republican run-off, Mark Tedford, who will now take the nomination.

A state court in **Florida** scrapped a law banning those aged 18-20 from carrying a concealed weapon. In a unanimous ruling, the judges said the measure violated the Second Amendment by imposing “severe restrictions” on young adults’ right to defend themselves. The state’s attorney-general, James Uthmeier, celebrated the ruling. Gun laws in the Sunshine State have become laxer in recent years.

A favourable deal for Iran



Photograph: AP

Donald Trump's deal is all carrot and no stick. There will be no regime change; no limits on Iran's ballistic missiles or its support of proxies. The deal focuses on two things. One is Iran's nuclear programme. The country has pledged to down-blend its enriched uranium and discuss the rest of its programme, but is masterful at stringing things along. It "reaffirms" not to get nuclear weapons, but it has promised that for years.

The other is the Strait of Hormuz. Brent crude is below \$80 a barrel, down from more than \$110 in May. But it will take weeks for the strait to be made safe for oil tankers. Morgan Stanley expects the price of "dated Brent"—oil to be delivered within a few weeks—to average \$90 between July and September. And after the 60 days in this deal, vessels transiting the strait may well have to pay Iran a fee. Cheap oil will not return soon.

No ordinary by-election



Photograph: London News Pictures

People in Makerfield, in north-west England, began voting on Thursday for a new member of Parliament. The significance of the by-election extends far beyond its suburban setting: Andy Burnham, the candidate for the ruling Labour Party, has said he will challenge Sir Keir Starmer for the party's leadership—and therefore the post of prime minister—if he wins.

His path to victory in Makerfield may have been eased by a split on the right: Nigel Farage's populist Reform UK, which hopes to win the seat, has had to fight off a surprisingly vigorous campaign from the more hardline Restore Britain.

Polls of Labour members suggest Mr Burnham, currently mayor of Greater Manchester and to the left of Sir Keir, would beat him in a head-to-head contest to [lead the party](#). But he will also face Wes Streeting, a centrist former health secretary who has vowed to stand. Makerfield may be merely the opening skirmish in a long and bitter campaign.

Volkswagen needs a firmer grip on the wheel



Illustration: Sandra Navarro

In recent years Volkswagen Group's sales have dropped sharply. The German carmaker, which also owns marques such as Lamborghini and Skoda, sold nearly 11m vehicles in 2019, but only 9m in 2025. The firm now has too many factories and employees. At its annual general meeting on Thursday its boss, Oliver Blume, is likely to outline how it will meet its target of cutting 50,000 jobs in Germany by 2030. As many as 19,000 may go this year.

vw's woes are many. Cut-throat [Chinese competition in Europe](#) has hit sales, and Donald Trump's tariffs on cars imported into America have been costly. The firm's workers in Germany are too expensive, but it backed away from an earlier plan to close a factory there, fearful of powerful trade unions. Unless Mr Blume now takes more drastic action vw's decline is unlikely to reverse.

South Korea's struggling won



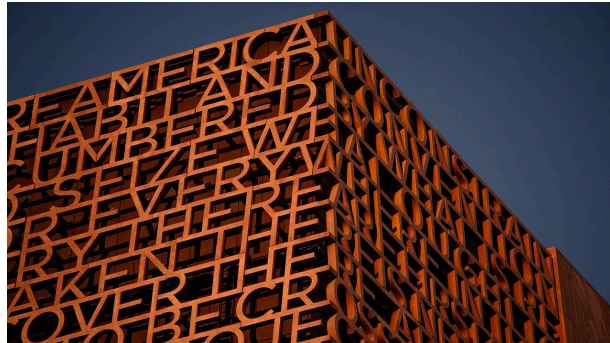
Photograph: AP

Last year, South Korea dodged the worst of Donald Trump's tariffs by pledging to invest \$350bn in America over ten years. On Thursday the government launched a corporation that will raise the funds and manage the investments.

But South Korea's economic challenges are far from over. Despite booming exports the won is at its weakest against the dollar since 2009. Economists fear that will raise inflation, which reached 3.1% in May, even if the Iran truce lowers energy prices. The investments in America could weaken the won further; the government insists they will be too small to do that.

Ironically, foreign interest in South Korea's [soaring stock market](#) has done less to support the won than it might have. The value of Korean stocks has grown so much that some foreign fund managers have to sell to abide by agreed limits on the weight of the country's assets in their portfolios. Meanwhile, South Koreans keep selling won to invest in America's surging tech stocks. If that dynamic continues, the won may remain under pressure.

A monumental tribute to America's 44th president



Photograph: Alamy

The [Obama Presidential Centre](#) will host a grand opening on Thursday. Nicknamed the “Obamalisk” by bemused locals, America’s newest presidential library looms over Chicago’s South Side. The 69m-tall behemoth of granite-covered concrete took five years to build and cost \$850m. It is certainly meant to make an impression.

Presidential libraries are an American institution. They are also increasingly elaborate experiments in legacy-building. The Obama Presidential Centre is fully funded by Barack Obama’s foundation and will be run like a private museum. The centre’s Eleanor Roosevelt Fruit and Vegetable Garden, Harriet Tubman Courtyard and Democracy in Action Lab offer some clues about the story Mr Obama wants to tell about himself.

Detractors will decry the project as fawning and hagiographic. Mr Obama doesn’t have to invite them. One face will be notably absent at Thursday’s ceremony. Donald Trump is the only living president who has not made the invite list.

Daily Quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Thursday: Who was nominated for his role as best supporting actor in the film “Sideways”?

Wednesday: Which rebellious song was Alice Cooper’s greatest hit?

*To do great work a man must be
very idle as well as very
industrious.*

Samuel Butler